LESSON 1

Introduction to Management

Learning outcomes. By the end of this lesson you should be able to:

- define the concept of management;
- list the four basic functions of management;
- describe the three levels of management in an organisation;
- identify key skills required of effective managers.

1.1 What is management?

Management is the process of planning, organising, leading and controlling resources to achieve organisational goals efficiently and effectively. It involves making decisions, allocating resources, and guiding people toward desired outcomes.

Worked example

A small café owner decides the menu (planning), orders supplies and schedules staff (organising), motivates employees during a busy lunch (leading), and checks daily sales to adjust prices if needed (controlling). This whole sequence is management.

1.2 The four functions of management

1. **Planning** – setting objectives and deciding how to achieve them.
2. **Organising** – arranging tasks, people and resources to implement the plan.
3. **Leading** – influencing and motivating people to work toward the goals.
4. **Controlling** – monitoring performance and making corrections as needed.

Worked example

A university department plans to increase enrolment (planning), creates new course sections and hires adjunct lecturers (organising), holds faculty meetings to communicate the vision (leading), and reviews enrolment numbers each semester to adjust marketing efforts (controlling).

1.3 Levels of management

Organisations typically have three hierarchical levels:

- **Top management** – sets overall direction, formulates strategy, and represents the organisation to external stakeholders.
- **Middle management** – translates strategic goals into operational plans, coordinates departments, and reports to top management.
- **First-line (operational) management** – supervises daily activities, manages frontline staff, and ensures tasks are completed on time.

Worked example

In a retail chain, the CEO (top management) decides to expand into a new market, the regional manager (middle management) develops a rollout plan for stores, and the store manager (first-line) schedules staff shifts and monitors sales each day.

1.4 Key managerial skills

Effective managers need a mix of skills:

- **Technical skills** – knowledge of specific tools, processes or industry practices.
- **Human skills** – ability to communicate, motivate and work with people.
- **Conceptual skills** – capacity to see the whole organisation, understand relationships and think strategically.

Worked example

A project manager uses technical skills to understand software development tools, human skills to resolve team conflicts, and conceptual skills to align the project with the company's long-term strategy.

Key test. Ask yourself: Do I need to set goals, organise resources, guide people and check results? If yes, I am performing management. Identify which of the four functions I am using most in a given situation.

1.5 Exercises

1. Write a short paragraph defining management in your own words.
2. For a student club, list one activity that belongs to each of the four management functions.
3. Match the following roles to the appropriate level of management: (a) Chief Financial Officer, (b) Department Supervisor, (c) Team Leader.
4. Give an example of a situation where a manager needs strong conceptual skills rather than technical skills.

1.6 Key terms

Term	Meaning
Management	Planning, organising, leading and controlling resources to achieve goals.
Planning	Setting objectives and deciding how to achieve them.
Organising	Arranging tasks, people and resources to implement plans.
Leading	Influencing and motivating people toward goals.
Controlling	Monitoring performance and correcting deviations.
Top management	Senior executives who set overall direction and strategy.
Middle management	Managers who translate strategy into operational plans.
First-line management	Supervisors who oversee daily activities and staff.
Technical skills	Knowledge of specific tools or processes.
Human skills	Ability to communicate and work with people.
Conceptual skills	Ability to understand the organisation as a whole and think strategically.

LESSON 2

Evolution of Management Thought

Learning outcomes. By the end of this lesson you should be able to:

- list the major schools of management thought;
- describe the key ideas of each school;
- explain how the schools relate to changes in industry and society;
- identify which school best fits a given organisational problem.

2.1 Classical management school

The classical school emerged in the late 19th and early 20th centuries. It focuses on efficiency, formal structure and scientific analysis of work.

Scientific management (Frederick Taylor) proposes that work should be studied scientifically, broken into small tasks, and workers trained to perform each task in the “one best way”.

Administrative management (Henri Fayol) identifies five functions of management – planning, organising, commanding, coordinating and controlling – and fourteen principles such as unity of command and scalar chain.

Worked example

A factory measures the time to assemble a widget, determines that 5 minutes is the optimal time, and sets a standard work sheet for all operators. This standardisation is a direct application of scientific management.

Key test. Does the problem involve improving the speed or cost of a repetitive task? If yes, the classical approach is likely appropriate.

2.2 Human relations school

The human relations school arose in the 1930s as a reaction to the mechanistic view of the classical school. It stresses the importance of social factors, employee morale and group dynamics.

Hawthorne studies (Elton Mayo) showed that workers’ productivity increased when they felt observed and valued, leading to the concept of “informal organisation”.

Motivation theories such as Maslow’s hierarchy of needs and Herzberg’s two-factor theory argue that employees have psychological needs that must be satisfied for high performance.

Worked example

A manager holds regular informal meetings where staff can voice concerns and suggest improvements. Attendance and job satisfaction rise, illustrating the human relations emphasis on communication and participation.

Key test. Is the main issue low employee morale, poor communication, or high turnover? If so, apply human relations ideas.

2.3 Systems approach

The systems approach developed in the 1950s and 1960s, viewing an organisation as an open system that interacts with its environment.

Open system means that inputs (resources, information) are transformed into outputs (products, services) and feedback from the environment influences future actions.

Subsystems such as production, finance and marketing are interdependent; a change in one affects the others.

Worked example

A company adopts a new inventory-management software. The change improves production scheduling, reduces costs in finance, and alters the marketing promise of faster delivery, showing the interdependence of subsystems.

> **Key test.** Does the problem involve multiple departments or external factors such as market changes? If yes, the systems perspective is useful.

2.4 Contingency approach

The contingency approach, popular from the 1960s onward, argues that there is no single best way to manage. The appropriate style depends on situational variables.

Contingency variables include organisational size, technology, environment stability and workforce skills.

Fit means aligning structure, leadership style and processes with these variables.

Worked example

A start-up with a small, highly skilled team uses a flat, informal structure, while a large, mature manufacturing firm adopts a hierarchical bureaucracy. Both choices fit their respective contingencies.

> **Key test.** Identify the key variables of the situation. Choose the management style that best matches those variables.

2.5 Exercises

1. Match each management school with its principal founder(s).
2. Explain how the Hawthorne studies changed the view of worker motivation.
3. A company faces rapid market change and internal conflict between sales and production. Which approach would help most and why?
4. Describe a real-world example where a contingency fit improved performance.

2.6 Key terms

Term	Meaning
Scientific management	Study of work to find the most efficient method.
Administrative management	Five functions and fourteen principles of management.
Human relations	Focus on employee needs, morale and informal groups.
Open system	Organisation that exchanges inputs and outputs with its environment.
Subsystem	A distinct part of an organisation that interacts with others.
Contingency approach	Management style chosen based on situational factors.
Fit	Alignment of structure and processes with environmental variables.

LESSON 3

Planning and Decision-Making

Learning outcomes. By the end of this lesson you should be able to:

- define what planning means in a project context;
- list the main steps of a planning process;
- describe common decision-making models;
- apply a simple decision-making technique to a practical problem.

3.1 What is planning?

Planning is the activity of setting goals, deciding how to achieve them, and arranging resources and time. A plan shows what must be done, who will do it, and when it should be finished. For example, a student group planning a workshop writes down the topics, assigns speakers, books a room, and creates a timetable.

Worked example

A university club wants to host a guest lecture. The planning steps are:

1. Choose a date and venue.
2. Invite the speaker and confirm availability.
3. Advertise the event to students.
4. Arrange equipment and refreshments.
5. Assign volunteers for registration and technical support.

3.2 Steps in the planning process

A typical planning process contains four stages:

1. **Goal definition**. State clearly what the project should achieve.
2. **Task identification**. Break the goal into smaller, manageable tasks.
3. **Scheduling**. Order the tasks, estimate durations, and allocate time slots.
4. **Resource allocation**. Assign people, budget, and equipment to each task.

Worked example

A student project aims to develop a simple mobile app. The goal is “deliver a working prototype in eight weeks”. Tasks include “design UI”, “write code”, “test features”, and “prepare presentation”. Each task is given a two-week slot and a team member is assigned.

3.3 Decision-making models

Decision-making chooses the best alternative among several options. Two common models are:

- **Rational model**. List all alternatives, evaluate them against criteria, and select the highest-scoring option.
- **Bounded rationality**. Recognise that information and time are limited; choose a satisfactory option rather than the optimal one.

Worked example

A student must pick a topic for a term paper. Using the rational model, she lists three topics, scores each on interest (1-5), available sources (1-5), and workload (1-5). The topic with the highest total score is chosen.

3.4 Simple decision-making technique: weighted scoring

Weighted scoring combines criteria and their importance:

$$\text{Score}(A) = \sum_{i=1}^{n} w_i \times r_i(A)$$

where w_i is the weight of criterion i (sum of weights = 1) and $r_i(A)$ is the rating of alternative A on that criterion (usually 0–5).

Worked example

Choosing a study location. Criteria: quietness (0.4), distance from home (0.3), Wi-Fi speed (0.3). Ratings for Library: 5, 2, 4. Score = 0.4·5 + 0.3·2 + 0.3·4 = 2.0 + 0.6 + 1.2 = 3.8. Ratings for Café: 3, 5, 5. Score = 0.4·3 + 0.3·5 + 0.3·5 = 1.2 + 1.5 + 1.5 = 4.2. The café scores higher, so it is the preferred choice.

Key test. When planning a new activity, list the goal, at least three tasks, and assign a person to each task. Then, for a decision you must make, write down two criteria, give them weights that add to 1, rate two alternatives, and compute the weighted scores.

3.5 Exercises

1. Write a short goal statement for a group project you are involved in.
2. Identify five tasks needed to achieve that goal and suggest a realistic order.
3. Using the weighted scoring method, decide between two software tools for your project. Choose two criteria, assign weights, rate each tool, and compute the scores.

3.6 Key terms

Term	Meaning
Planning	Setting goals, deciding actions, and arranging resources and time.
Goal definition	Stating clearly what the project intends to achieve.
Task identification	Breaking a goal into smaller, manageable activities.
Scheduling	Ordering tasks and assigning time periods.
Resource allocation	Assigning people, money, and equipment to tasks.
Decision-making	Choosing the best alternative among options.
Rational model	Systematic evaluation of all alternatives against criteria.
Bounded rationality	Choosing a satisfactory option when information or time is limited.
Weighted scoring	A technique that multiplies ratings by criterion weights and sums them.

LESSON 4

Organizing and Structure

Learning outcomes. By the end of this lesson you should be able to:

- describe the purpose of logical organization in a database;
- differentiate between tables, records and fields;
- explain primary keys, foreign keys and their role in structure;
- apply basic normalization to avoid redundancy.

4.1 Logical organization

A **database schema** is the logical blueprint of how data is arranged. It tells us what tables exist, what columns each table has, and how tables relate. The schema is independent of the physical files that store the data.

Worked example

In a university system the schema may contain a `Students` table (fields: StudentID, Name, Email) and a `Enrollments` table (fields: EnrollmentID, StudentID, CourseID, Grade). The schema shows that `StudentID` links the two tables.

4.2 Tables, records and fields

Table is a collection of rows that share the same set of columns. Each row is a **record**, and each column is a **field**. Fields hold single pieces of data, such as a name or a date.

Worked example

A record in the `Students` table might be (1023, “Ada Lovelace”, “ada@example.com”). Here 1023 is the value of the `StudentID` field, “Ada Lovelace” the `Name` field, and so on.

4.3 Primary keys

A **primary key** uniquely identifies each record in a table. No two records can have the same primary-key value, and the key cannot be null. It provides a stable reference for other tables.

Worked example

In the `Students` table the field `StudentID` is declared as the primary key. Every student gets a different number, so the DBMS can always locate a specific student.

4.4 Foreign keys and relationships

A **foreign key** is a field (or set of fields) in one table that refers to the primary key of another table. This creates a **relationship** between the tables and enforces referential integrity.

Worked example

The `Enrollments` table contains a `StudentID` field that is a foreign key referencing `Students.StudentID`. The DBMS will reject an enrollment record if the referenced student does not exist.

4.5 Normalization basics

Normalization is the process of organising tables to reduce redundancy and improve integrity. The first three normal forms are most common:

1. **First Normal Form (1NF).** Each field contains only atomic (indivisible) values; no repeating groups.
2. **Second Normal Form (2NF).** The table is in 1NF and every non-key field depends on the whole primary key.
3. **Third Normal Form (3NF).** The table is in 2NF and no non-key field depends on another non-key field.

Worked example

A table with columns `StudentID, StudentName, CourseID, CourseName` violates 3NF because `CourseName` depends on `CourseID`, not on the primary key (`StudentID, CourseID`). Splitting into `Students` and `Courses` tables removes the redundancy.

Key test. Check a table: (1) Are all values atomic? (2) Does every non-key field depend on the whole primary key? (3) Is any non-key field dependent on another non-key field? If the answer is yes to any, the table needs further normalisation.

4.6 Exercises

1. Identify the primary key in a table with columns `ISBN, Title, Author, Publisher`.
2. Given a table `Orders(OrderID, CustomerID, CustomerName, OrderDate)`, explain why `CustomerName` should be moved to a separate `Customers` table.
3. Write the foreign-key definition that links a `LineItems` table (field `OrderID`) to the `Orders` table.

4.7 Key terms

Term	Meaning
Schema	Logical description of tables, fields and relationships.
Table	Set of records sharing the same fields.
Record	Single row in a table, representing one entity.
Field	Column in a table, holding a specific attribute.
Primary key	Unique, non-null identifier for records in a table.
Foreign key	Field that references a primary key in another table.
Normalization	Process of structuring tables to reduce redundancy.
1NF	Each field contains only atomic values.
2NF	Non-key fields depend on the whole primary key.
3NF	No non-key field depends on another non-key field.

LESSON 5

Leadership Styles and Motivation

Learning outcomes. By the end of this lesson you should be able to:

- identify the main **leadership styles**;
- explain how each style influences **motivation** of team members;
- apply a simple model to choose an appropriate style for a given situation.

5.1 Leadership styles

Autocratic leadership is a style in which the leader makes decisions alone and expects compliance. It can be effective when quick decisions are needed, but it may reduce intrinsic motivation because members have little input.

Democratic leadership involves the leader sharing decision-making with the group. This often increases motivation by giving members a sense of ownership, though it can be slower.

Laissez-faire leadership gives members high autonomy and minimal direction. Motivation may rise for self-driven individuals, but can fall if guidance is lacking.

Worked example

A project team must choose a software platform. The manager (autocratic) decides instantly to use Platform X, saving time but causing some developers to feel their expertise is ignored. In a democratic meeting, the same team discusses options, votes, and selects Platform Y, leading to higher enthusiasm even though the meeting takes longer.

5.2 Motivation concepts

Intrinsic motivation is the internal drive to do something because it is interesting or satisfying. Leaders who provide meaningful tasks and autonomy tend to boost this type of motivation.

Extrinsic motivation relies on external rewards such as pay, bonuses, or recognition. An autocratic leader may use extrinsic rewards to maintain performance.

Maslow's hierarchy of needs suggests that people are motivated by a progression from basic physiological needs to self-actualisation. Leadership style can address different levels: safety needs may be met by clear rules (autocratic), while self-actualisation is fostered by empowerment (democratic).

Worked example

A sales team receives a monthly bonus (extrinsic) for meeting targets. The manager also encourages team members to set personal development goals, offering training sessions (intrinsic). The combination raises overall performance.

5.3 Choosing a style for motivation

A simple decision matrix can help match style to context:

Situation	Preferred style	Motivation focus
$Crisis, urgent deadline$	Autocratic	Extrinsic (clear rewards/punishments)
$Creative project, high expertise$	Democratic	Intrinsic (autonomy, mastery)
$Highly skilled, self\text{-}directed work$	Laissez-faire	Intrinsic (self-actualisation)

Worked example

A software startup is developing a prototype in two weeks. The founder adopts an autocratic style, assigning tasks and setting strict milestones to meet the deadline. Once the prototype is delivered, the team shifts to a democratic style for feature planning, encouraging each member to propose ideas.

Key test. For a given team scenario, identify the dominant need (e.g., speed, creativity, autonomy) and select the leadership style that best aligns with that need to maximise motivation.

5.4 Exercises

1. Match each leadership style (autocratic, democratic, laissez-faire) with the type of motivation it most directly supports.

2. A hospital unit faces a sudden influx of patients. Which style is most appropriate and why?

3. Using the decision matrix, decide the style for a research group that must publish a paper in three months while also encouraging innovative methods.

5.5 Key terms

Term	Meaning
Leadership style	The pattern of behaviour a leader uses to influence a group.
Autocratic	Leader makes decisions alone; low member input.
Democratic	Leader shares decision-making; high member input.
Laissez-faire	Leader provides minimal direction; high autonomy.
Motivation	The forces that drive individuals to act.
Intrinsic motivation	Motivation arising from internal satisfaction.
Extrinsic motivation	Motivation driven by external rewards or penalties.
Maslow's hierarchy	A theory that needs progress from basic to self-actualisation.

LESSON 6

Communication in Organizations

Learning outcomes. By the end of this lesson you should be able to:

- define **communication** and its purpose in organisations;
- distinguish the main channels of organisational communication;
- describe the roles of formal and informal communication;
- identify common barriers to effective communication and ways to overcome them.

6.1 Definition and purpose

Communication is the process of transmitting information, ideas, or feelings from a sender to a receiver. In an organisation, communication coordinates work, builds relationships, and supports decision-making. For example, a manager sends an email to the team outlining a new project deadline; the email conveys the required information and creates a shared understanding of the task.

6.2 Channels of organisational communication

Organisations use several **channels** to move messages:

- **Written channels** – emails, reports, memos, policies.
- **Oral channels** – meetings, telephone calls, video conferences.
- **Electronic channels** – instant messaging, intranet, social media platforms.
- **Physical channels** – notice boards, flyers, face-to-face conversations.

Each channel has strengths. Written messages provide a record; oral channels allow immediate feedback; electronic channels enable rapid distribution across locations.

Worked example

A sales department uses a shared spreadsheet (electronic) to record daily sales, sends a weekly summary report (written) to senior management, and holds a short video call (oral) each Monday to discuss any issues.

6.3 Formal vs. informal communication

Formal communication follows official structures and documented procedures. Examples include policy manuals, official memos, and scheduled meetings. It ensures consistency and accountability.

Informal communication occurs spontaneously, such as casual chats, water-cooler talk, or private messages. It can spread information quickly, build trust, and reveal employee concerns that formal channels miss.

Both types are necessary: formal channels provide clarity and authority, while informal channels foster a supportive culture.

Worked example

An employee learns about a new software rollout from the official announcement (formal) but also hears from a colleague that the training schedule will be adjusted (informal). Together, the two sources give a complete picture.

6.4 Barriers to effective communication

Common obstacles include:

1. **Noise** – physical (e.g., loud environment) or psychological (e.g., pre-conceptions) distractions.
2. **Language differences** – jargon, technical terms, or cultural language gaps.
3. **Information overload** – too many messages dilute important content.
4. **Hierarchical barriers** – fear of speaking up to superiors.
5. **Technological issues** – unreliable platforms or lack of access.

Ways to overcome them: simplify language, use appropriate channels, encourage feedback, provide training, and establish clear communication protocols.

Worked example

A project manager notices that team members miss deadline reminders. She switches from a long email (information overload) to a concise instant-message alert and adds a brief verbal reminder in the daily stand-up, reducing noise and improving receipt.

Key test. Choose a recent organisational message you received. Identify the channel, whether it was formal or informal, and any barrier that might have affected its clarity. Propose one change to improve the communication.

6.5 Exercises

1. Define communication in your own words and give a workplace example.
2. List three written and three oral channels used in a typical university department.
3. Explain how informal communication can complement formal policies.
4. Identify a barrier you have experienced and suggest a concrete step to reduce it.

6.6 Key terms

Term	Meaning
Communication	Transmission of information, ideas, or feelings between sender and receiver.
Channel	The medium through which a message is sent (written, oral, electronic, physical).
Formal communication	Official, structured messages following organisational procedures.
Informal communication	Spontaneous, unofficial exchanges that occur naturally among members.
Noise	Any distraction that interferes with the accurate receipt of a message.
Language differences	Variations in terminology, jargon, or cultural expressions that hinder understanding.
Information overload	Excessive amount of information that reduces the ability to process key messages.
Hierarchical barrier	Reluctance to communicate across levels of authority.
Technological issue	Problems with the tools or platforms used for communication.

LESSON 7

Managing Teams and Groups

Learning outcomes. By the end of this lesson you should be able to:

- define a team and a group in an organisational context;
- describe the stages of team development;
- explain at least three techniques for effective team leadership;
- identify common problems in team dynamics and suggest a remedy;
- apply a simple tool for allocating tasks within a team.

7.1 Team versus group

A **team** is a small collection of people who share a common goal, have interdependent tasks, and are jointly accountable for the outcome. A **group** is a larger set of individuals who may share a broad interest or affiliation but work largely independently.

Worked example

In a software project, the developers, tester and designer form a team because they must coordinate to deliver the product. All employees in the IT department form a group; they belong to the same department but each works on separate tasks.

7.2 Stages of team development

Bruce Tuckman's model describes four stages:

1. **Forming** – members meet, learn the purpose, and are polite.
2. **Storming** – conflicts appear as people assert ideas and roles.
3. **Norming** – norms develop, cooperation improves, and trust builds.
4. **Performing** – the team works efficiently toward the goal.

Worked example

A new student project team first introduces themselves (forming), then argues over the best design approach (storming), later agrees on a shared schedule (norming), and finally completes the prototype on time (performing).

7.3 Techniques for effective team leadership

- **Clear goal setting** – state specific, measurable objectives.
- **Role clarification** – assign each member a defined responsibility.
- **Regular feedback** – hold short debriefs after each task.

Worked example

The team leader writes: "We will finish the user interface by Friday (goal). Alice will design the layout, Bob will code the front-end, and Carol will test each screen (roles). After each day we will meet for 10 minutes to discuss progress (feedback)."

7.4 Common problems and remedies

- **Social loafing** – some members contribute less. Remedy: make individual contributions visible, e.g., a task board.
- **Communication breakdown** – messages are missed. Remedy: use a single channel for updates and confirm receipt.
- **Role ambiguity** – unclear responsibilities. Remedy: write a brief role description for each member.

Worked example

When the team noticed that the testing deadline was missed, the leader introduced a Kanban board showing who owned each card. Visibility reduced the unnoticed delays.

7.5 Simple task allocation tool: RACI matrix

RACI stands for **Responsible**, **Accountable**, **Consulted**, **Informed**. For each task, assign one person as Responsible (does the work) and one as Accountable (owns the result). Others may be consulted or merely informed.

Worked example

Task: Prepare project report.	Responsible: Bob Accountable: Alice Consulted: Carol (data analyst) Informed: All team members

Key test. For a given activity list, create a RACI matrix. Verify that each task has exactly one Responsible and one Accountable person, and that no person is overloaded with more than two Responsible tasks.

7.6 Exercises

1. Distinguish between a team and a group by giving a concrete example from university life.
2. Sketch the Tuckman stages for a group you have worked with, noting a specific event that marked each stage.
3. Using the RACI template, allocate roles for three tasks in a hypothetical group project.
4. Identify a situation where social loafing occurred and propose a concrete step to prevent it in the future.

7.7 Key terms

Term	Meaning
Team	Small group with shared goal, interdependent tasks, joint accountability.
Group	Larger collection of individuals with a common affiliation but independent work.
Forming	Initial stage where members meet and learn the purpose.
Storming	Stage of conflict as roles and ideas are contested.
Norming	Stage where norms and trust develop.
Performing	Stage of efficient, goal-focused work.
RACI	Matrix assigning Responsible, Accountable, Consulted, Informed roles for tasks.
Social loafing	Tendency of some members to reduce effort when working in a group.

LESSON 8

Controlling and Performance Measurement

Learning outcomes. By the end of this lesson you should be able to:

- define **controlling** in a management context;
- describe the steps of the controlling process;
- explain common performance measurement tools such as budgets, variance analysis and balanced scorecards;
- apply a simple variance calculation to a given set of data.

8.1 What is controlling?

Controlling is the management function that monitors actual performance, compares it with planned targets, and takes corrective action when needed. It closes the loop between planning and execution.

Worked example

A manufacturing firm plans to produce 1,000 units of a product in a month. At the end of the month the production report shows 950 units were made. The controlling function identifies the shortfall and investigates why the plan was not met.

8.2 Steps of the controlling process

The controlling process consists of four basic steps:

1. **Establish standards.** Set quantitative or qualitative targets (e.g., budgeted cost, sales volume).
2. **Measure actual performance.** Collect data on what really happened.
3. **Compare actual with standards.** Compute differences (variances).
4. **Take corrective action.** Adjust resources, processes or goals to bring performance back on track.

Worked example

A sales department sets a monthly sales target of $50,000 (standard). In March the actual sales are $42,000. The variance is $(8,000). The manager decides to launch a promotion to boost sales in April.

8.3 Performance measurement tools

Several tools help managers quantify performance:

- **Budgeting.** A financial plan that expresses expected revenues and expenses.
- **Variance analysis.** The calculation of differences between budgeted and actual figures, often expressed as favorable (F) or unfavorable (U).
- **Balanced scorecard.** A framework that adds non-financial perspectives (customer, internal processes, learning and growth) to financial measures.

Worked example

A company's balanced scorecard includes:

- Financial: Return on investment (ROI);
- Customer: Net promoter score;
- Internal: Production cycle time;
- Learning: Employee training hours.

Each perspective has a target and is reviewed quarterly.

8.4 Simple variance calculation

For a single cost element, variance is computed as:

$$\text{Variance} = \text{Actual} - \text{Budgeted}$$

A positive result indicates an unfavorable variance for costs (spending more than planned); a negative result is favorable.

Worked example

Budgeted material cost = \$12,000. Actual material cost = \$13,500.

$$\text{Variance} = 13{,}500 - 12{,}000 = 1{,}500$$

The material cost variance is \$1,500 unfavorable, signalling that material usage or price was higher than expected.

Key test. Identify a process in your department. Write down the planned target, the actual result, and compute the variance. Decide whether the variance requires corrective action.

8.5 Exercises

1. Define **controlling** in your own words and give a non-financial example.
2. List the four steps of the controlling process and match each step with an activity from a retail store.
3. A department budgeted \$8,000 for travel. The actual travel expense was \$6,500. Calculate the variance and state whether it is favorable or unfavorable.
4. Choose one perspective of the balanced scorecard and suggest a suitable performance indicator for a university library.

8.6 Key terms

Term	Meaning
Controlling	Monitoring performance, comparing with targets, and correcting deviations.
Standard	A planned quantitative or qualitative target used for comparison.
Variance	The numerical difference between actual performance and the standard.
Budget	A detailed financial plan that sets expected revenues and expenses.
Balanced scorecard	A performance-measurement framework that adds customer, internal, and learning perspectives to financial metrics.

LESSON 9

Change Management and Innovation

Learning outcomes. By the end of this lesson you should be able to:

- define **change management** and explain its main steps;
- describe the role of **innovation** in organisations;
- apply a simple change model to a concrete situation;
- distinguish between incremental and radical innovation.

9.1 Change management

Change management is the systematic approach to preparing, supporting and helping individuals, teams and organisations make organisational change. A typical process contains four stages:

1. **Preparation.** Identify the need for change, define objectives and secure leadership support.
2. **Planning.** Develop a detailed plan, allocate resources, and design communication strategies.
3. **Implementation.** Execute the plan, monitor progress and manage resistance.
4. **Evaluation.** Review outcomes, capture lessons learned and embed the change into routine practice.

Worked example

A university introduces a new online grading system. In the preparation stage the IT department surveys lecturers to confirm the need. During planning they schedule training sessions and create a help-desk. Implementation involves rolling out the software to one faculty first, collecting feedback and adjusting. Evaluation compares the time taken to enter grades before and after, and updates the user guide for future semesters.

9.2 Innovation

Innovation is the creation and implementation of new ideas, processes, products or services that add value. Innovation can be classified by scope:

- **Incremental innovation** – small improvements to existing products or processes (e.g., adding a dark-mode option to an app).
- **Radical innovation** – breakthrough changes that create new markets or fundamentally alter existing ones (e.g., the introduction of MOOCs).

Innovation requires an environment that encourages experimentation, tolerates failure and provides resources for development.

Worked example

A campus library adopts RFID tags for books. This is incremental: it speeds up checkout but does not change the core service of lending books. In contrast, launching a fully virtual reality learning platform represents radical innovation, as it reshapes how students interact with course material.

Key test. When faced with a proposed change, ask: (1) Have we identified clear objectives and a plan for people to adopt the change? (2) Does the change introduce a new way of creating value, and is it incremental or radical? If both answers are affirmative, we are dealing with change management that involves innovation.

9.3 Exercises

1. List the four stages of change management and give one activity that belongs to each stage for a new student portal.
2. Classify the following as incremental or radical innovation: (a) adding a chatbot to the admissions website, (b) replacing all face-to-face lectures with a fully immersive VR curriculum.
3. Explain why evaluating a change after implementation is essential for sustaining innovation.

9.4 Key terms

Term	Meaning
Change management	Structured process for planning and guiding organisational change.
Innovation	Introduction of new ideas, methods, or products that create value.
Incremental innovation	Small, continuous improvements to existing offerings.
Radical innovation	Major, disruptive changes that create new markets or behaviours.
Evaluation	Systematic review of outcomes to learn and embed improvements.

LESSON 10

Ethics, Social Responsibility, and Global Management

Learning outcomes. By the end of this lesson you should be able to:

- define **business ethics** and give a simple illustration;
- explain the concept of **social responsibility** and list two common practices;
- describe the main challenges of **global management** and give an example of cultural adaptation;
- apply a basic ethical decision-making framework to a managerial scenario.

10.1 Business ethics

Business ethics are the moral principles that guide the behaviour of individuals and organisations in commercial activities. They address questions such as: Is it right to advertise a product truthfully? Should a company pay a living wage?

Worked example

A clothing retailer discovers that a supplier uses child labour. The ethical choice is to stop purchasing from that supplier, even if it raises short-term costs, because exploiting children violates basic moral standards.

10.2 Social responsibility

Social responsibility refers to the obligations a firm has toward society beyond profit maximisation. Two common forms are:

- **Environmental stewardship**: reducing waste, recycling, and using renewable energy.
- **Community engagement**: donating to local charities, supporting education, or providing employee volunteer programmes.

Worked example

A technology company launches a programme to refurbish old laptops and donate them to schools in low-income areas. This action benefits the community and improves the firm's public image.

10.3 Global management

Global management is the coordination of business activities across national borders. Managers must handle differences in language, legal systems, and cultural norms.

Key challenges include:

1. **Cultural differences**: varying attitudes toward hierarchy, time, and negotiation.
2. **Regulatory variation**: distinct labour laws, tax regimes, and trade restrictions.
3. **Supply-chain complexity**: longer logistics, multiple currencies, and geopolitical risk.

Worked example

A U.S. fast-food chain enters Japan and adapts its menu to include rice-based dishes, respecting local taste preferences and avoiding cultural offense.

10.4 Ethical decision-making framework

A simple four-step framework:

1. Identify the ethical issue.
2. Gather relevant facts and stakeholders.
3. Evaluate options using principles such as fairness, harm, and legality.
4. Choose and implement the best action, then review the outcome.

Worked example

A manager must decide whether to disclose a data breach. Applying the framework: the issue is confidentiality; facts include the number of affected customers; options are to hide or report; fairness and legal requirements point to reporting; the manager informs authorities and customers promptly.

Key test. Choose a recent news story about a corporation. Identify the ethical issue, the stakeholders, and apply the four-step framework. Did the company's response align with ethical principles?

10.5 Exercises

1. Define **business ethics** in your own words and give a real-world example not used above.
2. List two ways a company can demonstrate social responsibility in its supply chain.
3. Describe a cultural difference that could affect negotiations in an international joint venture.
4. Apply the ethical decision-making framework to a scenario where a firm must decide whether to lay off workers to cut costs.

10.6 Key terms

Term	Meaning
Business ethics	Moral principles that guide conduct in commercial activities.
Social responsibility	Obligations of a firm to contribute positively to society beyond profit.
Global management	Coordination of organisational activities across different countries.
Cultural differences	Variations in values, norms, and behaviours among societies that affect business.
Ethical decision-making framework	Structured process for analysing and resolving moral dilemmas.